

THE FIRSTS FUND

THE FIRSTS GROWTH FUND · FUND FACT SHEET · PESO-DENOMINATED GLOBAL CAPACITY FUND

Hypothetical fund proposal · FinQuest 2026 · Data as of 2 October 2026 · Page 1 of 2

*"There will always be
a new first."*

INVESTMENT OBJECTIVE AND THE NEED IT ADDRESSES

Theme: global real capacity. The power, water, grids, ports, airports, fibre and data centres that the cost of a young Filipino's firsts runs on, and the equipment makers that build them. A global theme rather than a bet on one country, and deliberately not a technology fund.

Objective. Long-term capital growth from twenty-one companies, held directly, that own or supply long-lived physical and network capacity. One pooled fund with a single share price, making no promise about any individual investor's goal date.

The need. A Filipino aged 18 to 25 has a peso salary and peso goals, both tied to one economy. BPI's own Philippine Equity Index Fund returned **0.52% a year** after fees, and the closest global product on the shelf buys other funds, charges a second fee layer and finished **4.19 points a year behind** the index it targets. What is missing is a **peso-priced global growth fund, holding shares directly, that someone with P100 can buy.**

No country rule at all. An earlier draft fixed 30% in the Philippines, then sourced candidates mostly from home. Both put the answer in by assumption. Now one global list is ranked on merit, and countries are an output: the Philippines holds **9.60%** (ICTSI on quality of returns, Manila Water on price). Essential is not enough: every holding must also be cheaper than its global peers or earn more on its capital.

Why the risk level is what it is. A young investor puts money in every month. We shuffled the Fund's 60 monthly returns 20,000 times, which changes the path but never the total. A weak first half made the monthly contributor **richer** and the person drawing down **poorer** (correlations of -0.85 and $+0.85$), because someone paying in buys more units while prices are low. In all 20,000 orderings, **P1,000 a month in the Fund beat the same money in a 4.5% money market fund (P67,238).**

How a dated goal gets funded. The Fund is half the journey. The other half is an **account-level glidepath**: from 24 months out, monthly transfers move the balance into a money market fund, leaving 15% here on the date. We put the worst 12 months in 36 years (Aug 2001 to Jul 2002, -27.0%) into the final year of every shuffled path. The glidepath won in 100% of them and lifted the worst outcome from **P49,005 to P62,711**. In normal markets it costs about **P12,465** at the median. Goals under five years are declined at sign-up, with a reason.

KEY FACTS

Theme	Global real capacity
Fund structure	Single pooled fund, unitized
Classification	Aggressive
Minimum initial	P100
Contribution rails	Payday · Sukli · top-up
Minimum recurring	P100 / month
Recommended horizon	5 years and above
Currency	Philippine peso
Holdings	21 direct securities
Management fee	1.50% p.a.
Liquid reserve	10% (Rule 6.10)
Single-issuer cap	10% (Rule 6)
Concentration caps	Issuer 10% · type 25%
Weighting method	Equal risk contribution
Benchmark	MSCI ACWI, in PHP
Valuation	Daily, NAVPS

How holdings are sized. Each holding is set to add the same share of portfolio risk, judged by how the twenty-one moved together over the previous three years. Nothing is sized on opinion. Today each contributes between 2.4% and 5.0% of total risk against a 4.8% target. The two below target are held back by a rule: Saudi Telecom by the 10% issuer cap, Manila Water by its liquidity cap.

PERFORMANCE · SIMULATED, AFTER THE 1.50% FEE · 1 OCT 2021 TO 2 OCT 2026 · WEIGHTS USE ONLY DATA AVAILABLE AT EACH QUARTER

10.82% Volatility p.a. vs 14.79% index	0.50 Beta to MSCI ACWI	-10.25% Maximum drawdown P512 on P5,000	1.65 Sharpe ratio vs 0.76 index	22.89% Return p.a., net vs 16.21% index
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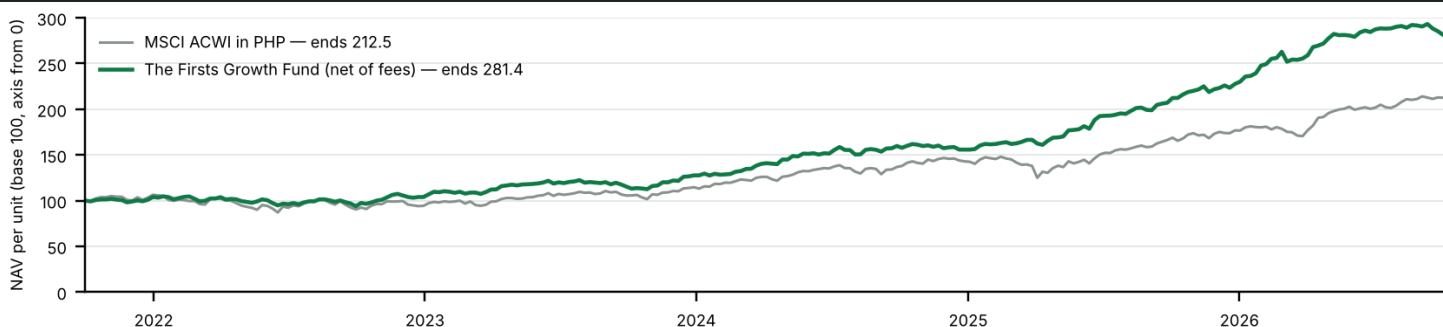
Risk comes before return on purpose: the return figure is the least reliable number on this page. Over 36 years the same method fell 41% and moved 0.85 as much as the market; see the long-history panel below.

Period	Fund	MSCI ACWI (PHP)	Risk statistic	Fund	Index
2021 (from 1 Oct)	+3.88%	+6.34%	Volatility p.a.	10.82%	14.79%
2022	-0.01%	-11.35%	Downside deviation	6.48%	9.57%
2023	+22.81%	+21.54%	Sharpe ratio	1.65	0.76
2024	+22.13%	+24.70%	Sortino ratio	2.76	1.17
2025	+46.07%	+23.73%	Maximum drawdown	-10.25%	-18.20%
2026 (to 2 Oct)	+23.64%	+20.24%	Worst rolling 12 months	-6.13%	-11.35%
Last 12 months	+32.59%	+25.96%	Best rolling 12 months	+66.47%	+46.09%
3 years p.a.	+35.50%	+26.26%	12-month periods positive	97%	87%
Since 1 Oct 2021 p.a.	+22.89%	+16.21%	Beta / correlation	0.50 / 0.68	1.00 / 1.00
			Excess return over index, geometric	+5.75%	—

The Fund led the index in 2022, 2023, 2025 and trailed it in 2024 and in late 2021. Over the last twelve months it led by 6.63 points. In 2022 it returned -0.01% against -11.35% : owners of earning assets held up as rates rose.

Risk-free rate: BSP policy rate, averaging 4.99% a year over the period. **In pesos, for someone paying P1,000 a month:** the 10.25% worst fall on a P5,000 balance is P512, about 2 weeks of contributions; the worst twelve months, 6.13%, is P307.

GROWTH OF ONE UNIT · SIMULATED, STARTING AT 100 ON 1 OCTOBER 2021



THE SAME METHOD OVER 36 YEARS · US INDUSTRY PROXIES, SAME RULES AND FEE · JAN 1990 TO AUG 2026

1990–2026, in PHP	This method	Market fund
Return a year	11.7%	11.7%
Largest fall	-41.2% (2007–09)	-43.9%
Months to recover	67	71
Beta to US market	0.85	0.92
Dot-com crash, 2000–02	-8.5%	-16.0%

The five years above were calm for this Fund. Rebuilt from industry returns with the same rules, reserve and fee, the method matched a market fund with the same costs over 36 years and fell a little less in 2008. Its edge was the dot-com crash; its worst relative year was COVID. **Plan for a fall of up to 41%.** In the 1997–98 crisis, when the peso went from P26.4 to P39.1 per dollar, the same global holdings gained 111% in pesos: the reason the Fund is left unhedged. Proxies are US-listed utility, telecom, transport, electrical-equipment and chip industries, so they move together more than twenty-one companies in thirteen countries would.

IMPORTANT. All figures are simulated and prepared with hindsight; simulated performance does not represent actual trading and cannot account for real dealing costs, taxes, liquidity or a manager's decisions under live conditions. Past simulated performance is not a guarantee of future results. The value of an investment can fall as well as rise, and an investor may get back less than the amount invested. Not an offer, solicitation or investment advice, and not a BPI Wealth product; no fund described here exists.

THE FIRSTS FUND

PORTFOLIO, PROCESS AND DISCLOSURES

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“There will always be a new first.”

HOLDINGS · THEME FIT, INVESTMENT MERIT AND PORTFOLIO ROLE · 21 COMPANIES						
Capacity	Holding	Theme fit: dated capacity target	Merit: rank · EV/EBITDA (peer median) · return gap (median)	Role: swings · correlation · overlap	Weight	Risk
Power	Enel IT	68 → 80+ GW installed by 2028	#1/11 · 8.1× (12.1×) · +1.4 pts (+0.1)	20% · 0.25 · Enel group	3.87%	4.9%
	Endesa ES	+1.9 GW renewables, to 13.2 GW by 2028	#2/11 · 9.2× (12.1×) · +6.2 pts (+0.1)	20% · 0.18 · Enel group	4.91%	4.9%
	Engie FR	95 GW renewables and storage by 2030	#3/11 · 8.3× (12.1×) · +0.8 pts (+0.1)	21% · 0.17	5.08%	4.9%
Water	Sabesp BR	R\$70bn of works to universal service by 2029	#2/7 · 10.0× (10.0×) · +4.2 pts (+0.6)	31% · 0.12	4.10%	4.9%
	Manila Water PH	3,225 MLD of new supply by 2037	#3/7 · 8.3× (10.0×) · +2.4 pts (+0.6)	27% · 0.04 · liq. cap 4.2% · Razon group	4.18%	2.4%
	Veolia FR	Double desalination (1.4M m³/day) by 2030	#4/7 · 7.8× (10.0×) · -0.3 pts (+0.6)	21% · 0.24	3.78%	4.9%
Networks	América Móvil MX	5,400 km of new fibre in Peru in 2026	#1/15 · 5.8× (7.5×) · +5.4 pts (+4.0)	24% · 0.19	3.76%	4.9%
	Saudi Telecom SA	1 GW of data centres by 2030	#3/15 · 9.3× (7.5×) · +12.1 pts (+4.0)	16% · 0.06 · issuer cap 10%	10.00%	4.5%
	Deutsche Telekom DE	Fibre to every German home by 2030	#4/15 · 6.2× (7.5×) · +3.9 pts (+4.0)	20% · 0.10	6.67%	5.0%
Ports	Westports MY	14M → 27M TEU a year (Westports 2)	#1/5 · 12.9× (12.9×) · +14.3 pts (+4.5)	22% · 0.09	6.35%	5.0%
	Kamigumi JP	Automated Kobe Port cold store, Aug 2029	#2/5 · 8.8× (12.9×) · +4.5 pts (+4.5)	18% · 0.12	6.90%	5.0%
	ICTSI PH	US\$300M, three terminals expanded by 2028	#3/5 · 14.8× (12.9×) · +13.9 pts (+4.5)	30% · 0.06 · Razon group	5.42%	5.0%
Airports, roads	ASUR MX	Cancún T4 expansion by end-2028	#1/8 · 7.9× (9.5×) · +11.5 pts (+9.1)	31% · 0.18	3.13%	4.9%
	OMA MX	Monterrey to 18M+ passengers, 2026–30 plan	#2/8 · 9.3× (9.5×) · +22.8 pts (+9.1)	37% · 0.16	2.79%	4.9%
	Japan Airport Term. JP	6 Haneda gates 2026; T2 extension 2027	#3/8 · 7.9× (9.5×) · +10.9 pts (+9.1)	27% · 0.14	4.00%	4.8%
Grid equipment	HD Hyundai Elec. KR	KRW397bn transformer capacity by 2028	#1/7 · 18.3× (18.3×) · +55.3 pts (+3.7)	57% · 0.11	2.26%	4.9%
	Nexans FR	525 kV HVDC cable plants by 2026	#2/7 · 8.6× (18.3×) · +3.7 pts (+3.7)	36% · 0.16	2.93%	4.9%
	Schneider FR	US\$700M of US plant capacity by 2027	#3/7 · 18.4× (18.3×) · +4.5 pts (+3.7)	29% · 0.24	2.71%	4.8%
Chips	Micron US	Idaho DRAM fab producing from 2027	#1/5 · 10.4× (16.5×) · +77.0 pts (+43.1)	63% · 0.16	1.65%	4.8%
	SK hynix KR	Cheongju HBM packaging fab by end-2027	#2/5 · 8.5× (16.5×) · +44.4 pts (+43.1)	60% · 0.15	1.78%	4.8%
	TSMC TW	US\$60–64bn capital spending in 2026	#3/5 · 20.3× (16.5×) · +43.1 pts (+43.1)	27% · 0.16	3.73%	4.9%

How to read it. Theme fit makes a company eligible; merit decides who is held (the top three per kind of capacity among companies that pass the debt, price and liquidity gates); the risk model sets the weight. Return gap = return on invested capital minus cost of capital. The milestone each serves is the story, not the reason to buy. **By capacity:** Digital networks 20.43% · Ports 18.67% · Power generation & grids 13.86% · Water 12.07% · Airports & toll roads 9.92% · Grid & power equipment 7.89% · Semiconductors 7.16%. **Largest countries (reported, not limited):** France 14.50% · Japan 10.89% · Saudi Arabia 10.00% · Mexico 9.68% · Philippines 9.60% · Germany 6.67%.

THE RULES THE PORTFOLIO MUST OBEY · ALL MET AT ONCE		
Limit	Rule	Actual (largest)
Owners	≥ 45%	74.94%
Suppliers	≤ 25%	15.06%
Capacity type	≤ 25%	20.43% digital networks
Liquid reserve	10%	10.00%
Single issuer	≤ 10%	10.00% Saudi Telecom
Single group	≤ 15%	9.60% Razon group
Country	no limit	14.50% France
Liquidity	5 days at 20% of volume	4.18% Manila Water

Two holdings sit at a limit: Saudi Telecom at the issuer cap and Manila Water at its liquidity cap (P1 billion launch size). Every other weight came out of the risk model, and every rule held at all 21 quarterly rebalances. Groups by controlling shareholder: ICTSI and Manila Water (Razon), Enel and Endesa (Enel).

Where the fund is still concentrated. The twenty-one behave like about 5.9 independent bets; two shared forces carry 42.6% of the risk. Overlaps we report: AI and data-centre build-out (chips, Schneider, HD Hyundai) about 12%, Mexico about 10% across three holdings.

HOW THIS FUND COMPARES			
Fund	Structure	Min.	5-yr p.a.
BPI Global Equity Fund-of-Funds	Buys 11 funds; 1.50% plus their fees	₱1,000	7.15%
BPI Philippine Equity Index Fund	Passive, 32 PSEi names, 1.50%	₱1,000	0.52%
Pag-IBIG MP2	Government savings, tax-free	₱500	7.1%
The Firsts Fund	21 direct holdings in 13 markets, 1.50% single layer, no country quota	₱100	22.89% simulated

Compare the structures, not the returns: ours is simulated and theirs are live. What holds without our return: the closest product targets the same world index, finished 4.19 points a year behind it, and charges a second fee layer. Where MP2 beats us, we say so: for a goal three to five years away it is the better product, and our sign-up screen sends people there.

CLIENT SUITABILITY

For an investor with a goal five or more years away who can contribute regularly and keep going through a fall of up to 41%, as in 2008. Not for money needed within five years, an emergency fund, or someone who would stop after a bad year. For all three a money market fund is right, and our sign-up screen sends them there.

Team Los Angeles 76ers, Ateneo de Manila University: Prince Angelo C. Rivera · Luis Tengonciang · Karol Josef Fuñe · Eric Fabian Thiridy Mendez.

HOW WE PICKED THE 21 · THREE STEPS, IN ORDER

M Map the capacity (theme fit). One global list, no regions or country slots: up to the 20 largest listed companies in each of seven kinds of capacity, 121 in all. Theme fit: the main business is on our list, and a conglomerate needs half its revenue there (Siemens 29%, Hitachi 30%, Samsung 39% fail). Every holding cites a dated capacity target.

V Verify the merit (investment merit). Gates: net debt ≤ 4.0× EBITDA (6.0× utilities) and interest cover ≥ 2.5×; EV/EBITDA ≤ 22.2×, the money-market yield; a position sellable in five days at 20% of volume. Then a rank against the same kind of company worldwide: half valuation, half return on capital minus cost of capital. Top three held. Out: NVIDIA, ASML, GE Vernova (price); NextEra, American Tower (debt).

P Position the risk (portfolio role). Produces the weight as a number; judgment sets only the rules and exits. Equal risk contribution on the previous three years of weekly peso returns, re-solved every quarter with only the data available then, inside the rules on the left.

How to read the simulation. We chose the twenty-one in October 2026, using today's ratios, and applied the rules to their past prices. That tests the method, not stock-picking in 2021, and it flatters the result: ranking by today's profits favour companies at a cyclical peak, such as the memory-chip makers. Plan on the 36-year figures.

THE MAIN RISKS, AND WHAT WE DO ABOUT EACH	
Risk	How it is managed, and what remains
Market and equity	90% equities, Aggressive. 10% reserve; sizing keeps each holding near a 4.8% share of risk. Reduced, not removed: the same method fell 41% in 2008–09.
Concentration and factor	Issuer ≤ 10%, group ≤ 15%, capacity type ≤ 25%, role limits. Two shared forces still carry 42.6% of risk, so a chip downturn or a sell-off in Mexico or Saudi Arabia hits several holdings together.
Currency, country and liquidity	About 80% non-peso, unhedged on purpose: salary and goals are already in pesos. Thirteen listing markets. Every position passes the five-day liquidity test. Saudi Arabia (10%) and Mexico (10%) are the largest emerging-market exposures; the riyal is pegged to the US dollar.
Sequence risk near the goal date	Account glidepath from 24 months out. With a 2008-size crash in the final year, worst outcome ₱49,005 → ₱62,711; typical cost ₱12,465.

IMPORTANT. All figures are simulated and prepared with hindsight. Not an offer or investment advice and not a BPI Wealth product. Full risk disclosures appear on page 1. References to Investment Company Act rules 6 and 6.10 are the authors' reading, unreviewed by counsel or any regulator. Debt and price tests and market values use S&P Global Market Intelligence data via stockanalysis.com as of 7 October 2026; capacity targets are cited in the holdings annex. Prices: PSE Edge (PSE names, with cash dividends) and Yahoo Finance (total return), converted to pesos weekly. Reserve yield: BIS policy-rate series for the BSP. Long history: Kenneth French Data Library and BIS exchange rates. Benchmark: iShares MSCI ACWI ETF in pesos. Comparison funds: BPI and Pag-IBIG disclosure statements. GICS sectors assigned by the team.